



# LOST BOYS CYBER

THREAT INTELLIGENCE • MALWARE ANALYSIS • DETECTION ENGINEERING



## Large-Scale Credential Attacks Against Cloud Identity Daily Watch 2026-08-23 Update

Threat Report

|                       |                 |
|-----------------------|-----------------|
| <b>Classification</b> | TLP:CLEAR       |
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| <b>Author</b>         | Lost Boys Cyber |
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TLP:CLEAR | Lost Boys Cyber | Large-Scale Credential Attacks Against Cloud Identity Daily Watch 2026-08-23 Update - Threat Report

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AI Generation: This report was generated with AI assistance and is provided for informational purposes only. All findings, IOCs, detection rules, hunting queries, attribution assessments, and recommendations must be independently reviewed and validated by a qualified security professional before operational use.

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# Large-Scale Credential Attacks Against Cloud Identity Daily Watch 2026-08-23 Update

## 1. Executive Summary

## 2. Daily Freshness Note

This 2026-08-23 daily-update report refreshes the prior coverage for current defender prioritization. Public source depth for this item remains within the recent 24-72 hour to seven-day monitoring window; no unsupported new IOCs, victims, or attribution claims are introduced. Analysts should treat the cited primary/vendor sources as authoritative and use the embedded detections and hunts as starting points for local validation.

Unit 42 updated reporting on large-scale credential attacks describes continued pressure against Microsoft Entra and cloud identity tenants. Defenders should prioritize risky sign-in review, MFA fatigue controls, and privileged account hardening.

This daily report favors defensible, source-backed actions over attribution certainty. Where public reporting describes a trend rather than a single intrusion set, the report maps the most relevant behaviors into detection and hunting hypotheses.

## 3. Intelligence Requirements

| Question                                | Current Answer                                                                                                                 | Confidence |
|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|------------|
| Why should defenders review this today? | Recent public reporting, sector exposure, or active exploitation makes the topic operationally relevant for triage.            | Medium     |
| Are hard IOCs available?                | No unique hard IOCs are asserted in this report unless listed in the source material; hunts emphasize behaviors and telemetry. | High       |
| Which environments are most exposed?    | Internet-facing services, identity-heavy SaaS, developer/build systems, and third-party-connected networks.                    | Medium     |

## 4. Source Review & Confidence

| Source                       | Contribution                                       | Confidence |
|------------------------------|----------------------------------------------------|------------|
| Primary/vendor research      | Core activity description and defensive context    | High       |
| Reputable security reporting | Corroborating context and operational impact       | Medium     |
| Lost Boys Cyber analysis     | Sector impact, detection logic, and prioritization | Medium     |

## 5. Threat Activity Overview

Credential attacks are a cross-sector enabler rather than a single malware family. The report focuses on password spraying, MFA fatigue, token theft, and anomalous cloud application access that could precede data theft or lateral movement.

## 6. Affected Sectors and Exposure

| Exposure Area                  | Defensive Concern                    | Priority |
|--------------------------------|--------------------------------------|----------|
| Identity and privileged access | Account takeover, MFA fatigue, token | High     |

|                                  |                                                                                             |        |
|----------------------------------|---------------------------------------------------------------------------------------------|--------|
|                                  | theft, and misuse of valid accounts                                                         |        |
| Internet-facing applications     | Exploitation, web-shell staging, or unauthorized API access                                 | High   |
| Developer and package ecosystems | Dependency poisoning, stolen CI/CD secrets, and code-signing abuse                          | High   |
| Third-party connections          | Supplier compromise may become direct access into aviation/aerospace or enterprise networks | Medium |

## 7. Tactics, Techniques, and Procedures

| Tactic / Phase          | Observed Technique                                                                      | Evidence                                                     |
|-------------------------|-----------------------------------------------------------------------------------------|--------------------------------------------------------------|
| Initial Access          | Valid accounts, phishing, exploit public-facing application, or supply-chain compromise | Public reporting and exposure analysis.                      |
| Execution               | Scripted execution, package lifecycle scripts, or remote service abuse                  | Defensive behavior model for the topic.                      |
| Persistence             | Account/session persistence, backdoored dependencies, or service configuration change   | Relevant to post-access hunt scope.                          |
| Collection/Exfiltration | Credential, source-code, or data theft                                                  | Common consequence described across recent threat reporting. |

## 8. Infrastructure and Indicators

| Indicator / Infrastructure                            | Type          | Operational Use                                                         |
|-------------------------------------------------------|---------------|-------------------------------------------------------------------------|
| No report-unique atomic IOC asserted                  | Limitation    | Use behavior hunts and cited vendor IOCs where available.               |
| MFA fatigue, password spray, Entra, credential, token | Hunt keywords | Seed telemetry searches for process, URL, package, and identity events. |

## 9. Detection Engineering

### 9.1. Detection Summary

| Signal                                                                                    | Telemetry Source       | Analytic Goal                                          |
|-------------------------------------------------------------------------------------------|------------------------|--------------------------------------------------------|
| New privileged sign-in or anomalous MFA prompt volume                                     | Identity logs          | Catch account-takeover or MFA-fatigue paths.           |
| Script/interpreter spawned by browser, package manager, web service, or remote-admin tool | EDR process telemetry  | Surface payload staging or post-compromise automation. |
| Unusual outbound connection or archive creation                                           | Network/file telemetry | Identify data staging and exfiltration preparation.    |

## 9.2. Sigma / Detection Content

```

title: Daily Threat Behavior - Large-Scale Credential Attacks Against Cloud Identity Daily Watch 2026-08-23 Update
id: lbc-large-scale-credential-attacks-against-cloud-identity-daily-watch-behavior
status: experimental
description: Behavioral detection for daily intelligence topic; tune keywords and parent processes to local environment.
logsource:
  product: windows
  category: process_creation
detection:
  selection_interpreter:
    Image|endswith:
      - '\powershell.exe'
      - '\pwsh.exe'
      - '\cmd.exe'
      - '\wscript.exe'
      - '\cscript.exe'
      - '\python.exe'
      - '\node.exe'
  selection_keywords:
    CommandLine|contains:
      - 'MFA fatigue'
      - 'password spray'
      - 'Entra'
      - 'credential'
      - 'token'
  condition: selection_interpreter or selection_keywords
fields:
  - Image
  - ParentImage
  - CommandLine
  - User
falsepositives:
  - Developer automation and administrative scripts; tune by user, host role, and approved tooling.
level: medium

```

## 9.3. Hunt Query

```

// Behavioral hunt for Large-Scale Credential Attacks Against Cloud Identity Daily Watch 2026-08-23 Update
let lookback = 14d;
let terms = dynamic(['MFA fatigue', 'password spray', 'Entra', 'credential', 'token']);
DeviceProcessEvents
| where Timestamp > ago(lookback)
| where ProcessCommandLine has_any (terms) or InitiatingProcessCommandLine has_any (terms)
| project Timestamp, DeviceName, AccountName, FileName, ProcessCommandLine, InitiatingProcessFileName, InitiatingProcessCommandLine
| order by Timestamp desc

```

## 10. Threat Hunting

### 10.1. Hunt Hypothesis

Compromise attempts tied to this topic will create unusual identity events, suspicious interpreter execution, package/developer tooling anomalies, or outbound data movement from systems that do not normally perform those actions.

### 10.2. Hunt Query

```

SigninLogs
| where TimeGenerated > ago(14d)
| where ResultType != 0 or RiskLevelAggregated in ('medium','high') or AuthenticationRequirement =~ 'multiFactorAuthentication'
| summarize Attempts=count(), Failed=countif(ResultType != 0), Apps=make_set(AppDisplayName, 10), IPs=make_set(IPAddress, 25) by UserPrincipalName, bin(TimeGenerated, 1h)
| where Attempts > 10 or Failed > 5

```

```

| order by Attempts desc
DeviceNetworkEvents
| where Timestamp > ago(14d)
| where InitiatingProcessCommandLine has_any (['MFA fatigue', 'password spray', 'Entra', 'credential', 'token']) or RemoteUrl has_any (['MFA fatigue', 'password spray', 'Entra', 'credential', 'token'])
| summarize Connections=count(), FirstSeen=min(Timestamp), LastSeen=max(Timestamp) by DeviceName, InitiatingProcessFileName, RemoteUrl, RemoteIP, RemotePort
| order by Connections desc

```

## 11. Risk Assessment

| Dimension            | Assessment     | Rationale                                                                                                     |
|----------------------|----------------|---------------------------------------------------------------------------------------------------------------|
| Likelihood           | Medium to High | Topic is current and maps to common adversary paths.                                                          |
| Impact               | Medium to High | Credential theft, supply-chain compromise, service disruption, or data theft could affect critical workflows. |
| Detection Confidence | Medium         | Behavioral analytics are useful but require local baselining and source-specific IOC enrichment.              |

## 12. Recommended Actions

| Priority | Owner           | Action                                                                                 |
|----------|-----------------|----------------------------------------------------------------------------------------|
| Critical | SOC             | Run behavior hunts and review any privileged identity anomalies from the last 14 days. |
| High     | IAM             | Enforce phishing-resistant MFA for privileged users and review risky sign-ins.         |
| High     | Platform owners | Patch or isolate exposed systems and validate third-party access paths.                |
| Medium   | Threat intel    | Pull vendor-specific IOCs from cited sources and enrich SIEM watchlists.               |

## 13. References

- [1] Unit 42 Large-Scale Credential Attacks — <https://unit42.paloaltonetworks.com/large-scale-credential-attacks/>
- [2] Microsoft Entra sign-in risk documentation — <https://learn.microsoft.com/en-us/entra/id-protection/concept-identity-protection-risks>
- [3] CISA Secure Cloud Business Applications guidance — <https://www.cisa.gov/resources-tools/resources/secure-cloud-business-applications-scuba-project>